

# **Meridian Mechanical Services**

Regional Commercial HVAC Services Platform

## **CONFIDENTIAL INFORMATION MEMORANDUM**

This Confidential Information Memorandum has been prepared solely for the use of prospective purchasers in evaluating a possible transaction involving the Company. It does not purport to be all-inclusive or to contain all information that a prospective purchaser may require. Recipients should conduct their own independent investigation and analysis. Financial information herein is unaudited and has been prepared by management.

# Table of Contents

| Section | Title                                    |
|---------|------------------------------------------|
| 1.      | Executive Summary                        |
| 2.      | Company Overview                         |
| 3.      | Market Overview                          |
| 4.      | Historical Financial Performance         |
| 5.      | Customer Base                            |
| 6.      | Management and Organization              |
| 7.      | Operations and Infrastructure            |
| 8.      | Growth Strategy                          |
| 9.      | Transaction Overview                     |
| A.      | Appendix — Supplemental Financial Detail |

All financial information presented herein is unaudited and derived from management-prepared statements. Certain information has been rounded for presentation. No representation or warranty, express or implied, is made as to the accuracy or completeness of the information contained herein.

# 1. Executive Summary

Meridian Mechanical Services is a leading provider of commercial HVAC maintenance, repair and replacement services to institutional and light industrial customers across the Midwest. The Company operates a predominantly contracted service model, with maintenance agreements generating a substantial majority of gross profit.

Founded in 2004 and headquartered in Columbus, Ohio, the Company employs approximately 142 people and generated revenue of \$18.4 million and Adjusted EBITDA of \$3.06 million in fiscal 2024, representing an Adjusted EBITDA margin of 16.6%.

## Investment Highlights

- **Consistent growth.** Revenue has grown at a 13.8% compound annual rate over the last three fiscal years, from \$14.2 million in 2022 to \$18.4 million in 2024.
- **Attractive revenue mix.** Approximately 58% of revenue is recurring or contracted in nature, providing visibility into forward periods.
- **Diversified customer base.** The Company maintains a well-diversified customer base, with no single customer representing more than 12% of revenue and the top five representing approximately 37%.
- **Experienced management team.** The senior leadership team averages 11 years with the Company and is committed to supporting a transition to new ownership.
- **Fragmented market.** The Company operates in a highly fragmented market with meaningful opportunity for consolidation-led growth.

## **2. Company Overview**

### **History and Background**

Meridian Mechanical Services was established in 2004 and has grown from a single-location operator to its current position as a leading regional provider of commercial hvac services. The Company has completed 1 acquisition since inception and today serves customers from its Columbus, Ohio headquarters.

Management has invested consistently in systems, training and service delivery infrastructure, positioning the Company to support continued organic growth as well as integration of acquired operations.

## **Service Lines**

The Company delivers its offering through the service lines described below. Management views the breadth of the offering as a competitive differentiator, enabling the Company to serve as a single-source provider and to expand wallet share within existing accounts over time.

### **Preventive maintenance contracts**

Representing approximately 42% of fiscal 2024 revenue, this service line is delivered by dedicated teams operating under standardized procedures and quality controls. Management believes the offering is well positioned relative to local competitors given the Company's technical depth, response-time commitments and established customer relationships. Pricing is generally established on a contracted annual basis, with periodic escalation provisions.

### **Emergency repair and service calls**

Representing approximately 27% of fiscal 2024 revenue, this service line is delivered by dedicated teams operating under standardized procedures and quality controls. Management believes the offering is well positioned relative to local competitors given the Company's technical depth, response-time commitments and established customer relationships. Pricing is generally established on a time-and-materials basis, with periodic escalation provisions.

### **Equipment replacement and retrofit**

Representing approximately 19% of fiscal 2024 revenue, this service line is delivered by dedicated teams operating under standardized procedures and quality controls. Management believes the offering is well positioned relative to local competitors given the Company's technical depth, response-time commitments and established customer relationships. Pricing is generally established on a contracted annual basis, with periodic escalation provisions.

### **Building automation and controls**

Representing approximately 12% of fiscal 2024 revenue, this service line is delivered by dedicated teams operating under standardized procedures and quality controls. Management believes the offering is well positioned relative to local competitors given the Company's technical depth, response-time commitments and established customer relationships. Pricing is generally established on a time-and-materials basis, with periodic escalation provisions.

## End Markets

The Company serves a diversified set of end markets, which management believes reduces exposure to any single sector's cyclicalities:

- **Healthcare.** Customers in this segment value reliability, responsiveness and compliance documentation. Management believes the Company's positioning in this segment is durable and supports above-market retention.
- **Education (K-12 and higher ed).** Customers in this segment value reliability, responsiveness and compliance documentation. Management believes the Company's positioning in this segment is durable and supports above-market retention.
- **Light industrial.** Customers in this segment value reliability, responsiveness and compliance documentation. Management believes the Company's positioning in this segment is durable and supports above-market retention.
- **Municipal.** Customers in this segment value reliability, responsiveness and compliance documentation. Management believes the Company's positioning in this segment is durable and supports above-market retention.

## Facilities

The Company operates from its headquarters facility in Columbus, Ohio, together with satellite operating locations supporting field service delivery. All facilities are leased. Management believes existing facilities are adequate to support the business plan without material incremental investment over the forecast period.

## Employees

As of the most recent period, the Company employed 142 full-time equivalents. Voluntary turnover has averaged in the low-to-mid teens annually, which management believes compares favorably to industry norms. The Company is not party to any collective bargaining agreement and has not experienced any work stoppage.

Compensation is structured with a base salary component and a variable component tied to utilization, quality and customer satisfaction metrics. Management believes its compensation structure is competitive within its operating geographies and supports continued recruitment.

### 3. Market Overview

The Commercial HVAC services market is characterized by a large installed base of small, owner-operated providers and limited national scale players. Management estimates the addressable market in the Company's core geography exceeds \$2 billion, of which the Company represents less than 2% share, implying substantial runway for both organic and acquisition-led expansion.

Industry growth is supported by durable secular drivers including aging installed infrastructure, increasing regulatory and compliance requirements, and a continued shift among customers toward outsourced service delivery.

#### Market Segmentation

Management segments the addressable market by customer size and service intensity. The Company's core focus is the mid-market segment, where customers are large enough to require professionalized service delivery but generally lack the scale to bring the function in-house.

| Segment                        | Est. Market Size | Company Position        |
|--------------------------------|------------------|-------------------------|
| Enterprise / national accounts | \$780M           | Selective participation |
| Mid-market                     | \$1,050M         | Core focus              |
| Small / owner-operated         | \$310M           | Opportunistic           |

#### Competitive Positioning

The Company competes primarily against local and regional operators. Management believes the Company's scale, service breadth and systems investment provide meaningful competitive advantages in bidding situations, particularly for larger multi-site accounts.

The competitive set is fragmented, with the majority of participants operating from a single location and generating under \$5 million of annual revenue. Management believes limited succession planning across this cohort creates a durable pipeline of acquisition opportunities at attractive entry valuations relative to the Company's own multiple.

#### Industry Trends

- **Consolidation.** Private-capital-backed platforms have become increasingly active acquirers of sub-scale operators, though the market remains substantially unconsolidated.
- **Labor availability.** Skilled technical labor remains constrained across the sector; operators with structured training and career pathing have a recruiting advantage.
- **Customer sophistication.** Customers increasingly require documented service levels, compliance reporting and digital access to service history, favoring operators with systems investment.

- **Pricing.** Input cost inflation has generally been passable to customers through contractual escalation provisions, supporting stable gross margin over the periods presented.



## 4. Historical Financial Performance

The following table summarizes the Company's historical financial performance for the three fiscal years presented. Financial information is unaudited and has been prepared by management on a basis consistent with prior periods.

| (\$ in millions)   | 2022   | 2023   | 2024   |
|--------------------|--------|--------|--------|
| Revenue            | \$14.2 | \$16.1 | \$18.4 |
| Gross Profit       | \$5.1  | \$6.0  | \$7.0  |
| Gross Margin       | 36.0%  | 37.0%  | 38.0%  |
| Reported EBITDA    | \$1.9  | \$2.4  | \$2.8  |
| Adjusted EBITDA    | \$2.1  | \$2.6  | \$3.1  |
| Adj. EBITDA Margin | 15.0%  | 16.0%  | 16.6%  |

### Adjusted EBITDA Bridge

Management has presented Adjusted EBITDA for fiscal 2024 reflecting the add-backs set forth below. Management believes these adjustments present a more representative view of the ongoing earnings power of the business under new ownership.

| Adjustment                            | Amount (\$M) | Periods Presented |
|---------------------------------------|--------------|-------------------|
| Reported EBITDA                       | \$2.81       |                   |
| Owner compensation above market       | \$0.14       | FY2022-FY2024     |
| Non-recurring legal settlement (2024) | \$0.07       | FY2024            |
| Transaction preparation costs         | \$0.04       | FY2024            |
| Adjusted EBITDA                       | \$3.06       |                   |

Add-backs are presented on a pre-tax basis. Prospective purchasers should conduct their own quality of earnings analysis.

## Quarterly Revenue Distribution

Revenue exhibits modest seasonality, with the second and third quarters typically representing approximately 55% of annual revenue driven by cooling season demand.

| (\$ in millions) | Q1    | Q2    | Q3    | Q4    |
|------------------|-------|-------|-------|-------|
| 2022             | \$3.3 | \$3.7 | \$3.7 | \$3.5 |
| 2023             | \$3.7 | \$4.2 | \$4.2 | \$4.0 |
| 2024             | \$4.2 | \$4.8 | \$4.8 | \$4.6 |

## Working Capital

The following table presents days sales outstanding for the periods shown. The Company bills monthly in arrears for recurring services and on milestone terms for project work.

| Metric                 | 2022 | 2023 | 2024 |
|------------------------|------|------|------|
| Days Sales Outstanding | 41.0 | 39.5 | 38.2 |

## 5. Customer Base

The Company serves approximately 310 active customer relationships. The table below sets out the largest relationships by share of revenue for fiscal 2024.

| Customer                         | % of Revenue | Tenure (yrs) |
|----------------------------------|--------------|--------------|
| Riverside Health System          | 11.2%        | 9            |
| Buckeye Regional School District | 8.4%         | 12           |
| Central Ohio Manufacturing Co.   | 6.9%         | 6            |
| Franklin County Facilities       | 5.8%         | 7            |
| Tri-State Logistics Park         | 4.6%         | 4            |
| Top 5 Total                      | 36.9%        |              |

### Contractual Arrangements

Maintenance agreements are typically three years in duration with automatic renewal provisions and contain customary assignment and change-of-control consent provisions.

Customer relationships have historically demonstrated high retention, with annual revenue retention in excess of 90% across the maintenance base over the periods presented.

## Selected Customer Case Studies

### Riverside Health System

A customer of the Company for 9 years, this relationship began with a single engagement and has expanded to encompass multiple service lines. The account illustrates the Company's land-and-expand motion: initial scope was limited, with subsequent expansion driven by service quality and responsiveness rather than competitive re-bid. Management believes the relationship is stable and expects continued expansion under new ownership.

### Buckeye Regional School District

A customer of the Company for 12 years, this relationship began with a single engagement and has expanded to encompass multiple service lines. The account illustrates the Company's land-and-expand motion: initial scope was limited, with subsequent expansion driven by service quality and responsiveness rather than competitive re-bid. Management believes the relationship is stable and expects continued expansion under new ownership.

### Central Ohio Manufacturing Co.

A customer of the Company for 6 years, this relationship began with a single engagement and has expanded to encompass multiple service lines. The account illustrates the Company's land-and-expand motion: initial scope was limited, with subsequent expansion driven by service quality and responsiveness rather than competitive re-bid. Management believes the relationship is stable and expects continued expansion under new ownership.

## Retention and Churn

| Metric                  | 2022 | 2023 | 2024 |
|-------------------------|------|------|------|
| Gross revenue retention | 91%  | 92%  | 93%  |
| Net revenue retention   | 104% | 106% | 108% |
| Logo churn              | 7%   | 6%   | 6%   |

Retention statistics are management estimates and have not been independently verified.

## 6. Management and Organization

| Name          | Role                    | Tenure (yrs) |
|---------------|-------------------------|--------------|
| David Kessler | Chief Executive Officer | 20           |
| Angela Ruiz   | Chief Operating Officer | 8            |
| Mark Feeney   | Chief Financial Officer | 5            |
| Tom Alvarez   | VP Service Operations   | 11           |

**David Kessler, Chief Executive Officer.** Founded the Company in 2004 and has served in the current role for 20 years. Is expected to continue with the business following a transaction.

**Angela Ruiz, Chief Operating Officer.** Joined the Company and has served in the current role for 8 years. Is expected to continue with the business following a transaction.

**Mark Feeney, Chief Financial Officer.** Joined the Company and has served in the current role for 5 years. Is expected to continue with the business following a transaction.

**Tom Alvarez, VP Service Operations.** Joined the Company and has served in the current role for 11 years. Is expected to continue with the business following a transaction.

## **7. Operations and Infrastructure**

The Company delivers services through a field organization supported by centralized scheduling, dispatch and quality functions. Management has invested in standardizing service delivery procedures across the organization, which it believes supports both consistent customer outcomes and the efficient integration of acquired operations.

### **Systems and Technology**

The Company operates an integrated field service management platform covering work order management, scheduling, mobile field data capture, inventory and invoicing. Financial reporting is maintained on a commercial accounting package with monthly close completed within fifteen business days. Management believes the current systems environment is adequate to support the business through the forecast period.

### **Quality and Compliance**

The Company maintains documented quality procedures and carries customary general liability, workers compensation, auto and umbrella coverage. There is no pending or threatened litigation that management believes would be material to the Company's operations or financial condition.

### **Supplier Relationships**

The Company sources materials and equipment through national distribution relationships as well as regional suppliers. No single supplier represents a concentration that management believes would be material, and the Company does not have long-term purchase commitments outside the ordinary course.

## 8. Growth Strategy

Management has identified the following initiatives, which it believes represent actionable near-term opportunities for a new owner:

### 1. Densify the existing Ohio footprint through targeted tuck-in acquisitions

Management believes this initiative is supported by the Company's existing customer relationships, operational infrastructure and market position, and can be executed without material incremental capital investment.

Management has identified an initial set of target accounts and estimates this initiative could contribute incremental revenue equivalent to 9% of the fiscal 2024 base over a three-year horizon, at contribution margins consistent with or above the Company's current blended margin profile. Execution risk is primarily related to hiring and onboarding qualified delivery staff at the required pace.

### 2. Expand building automation attach rate on the installed maintenance base

Management believes this initiative is supported by the Company's existing customer relationships, operational infrastructure and market position, and can be executed without material incremental capital investment.

Management has identified an initial set of target accounts and estimates this initiative could contribute incremental revenue equivalent to 5% of the fiscal 2024 base over a three-year horizon, at contribution margins consistent with or above the Company's current blended margin profile. Execution risk is primarily related to hiring and onboarding qualified delivery staff at the required pace.

### 3. Enter adjacent Indianapolis and Pittsburgh metro markets

Management believes this initiative is supported by the Company's existing customer relationships, operational infrastructure and market position, and can be executed without material incremental capital investment.

Management has identified an initial set of target accounts and estimates this initiative could contribute incremental revenue equivalent to 7% of the fiscal 2024 base over a three-year horizon, at contribution margins consistent with or above the Company's current blended margin profile. Execution risk is primarily related to hiring and onboarding qualified delivery staff at the required pace.

### 4. Convert time-and-materials accounts to multi-year maintenance agreements

Management believes this initiative is supported by the Company's existing customer relationships, operational infrastructure and market position, and can be executed without material incremental capital investment.

Management has identified an initial set of target accounts and estimates this initiative could contribute incremental revenue equivalent to 6% of the fiscal 2024 base over a three-year horizon, at contribution margins consistent with or above the Company's current blended margin profile. Execution risk is primarily

related to hiring and onboarding qualified delivery staff at the required pace.



## Financial Outlook

Management has prepared the illustrative projections below. These projections reflect management's current expectations and are subject to significant business, economic and competitive uncertainties, many of which are beyond the Company's control. Actual results may differ materially.

| (\$ in millions)   | FY2025E | FY2026E | FY2027E |
|--------------------|---------|---------|---------|
| Revenue            | \$20.6  | \$23.1  | \$25.9  |
| Adjusted EBITDA    | \$3.61  | \$4.26  | \$5.03  |
| Adj. EBITDA Margin | 17.5%   | 18.5%   | 19.4%   |

Projections assume continued execution of the initiatives described above, no material change in competitive or macroeconomic conditions, and retention of key personnel and customer relationships.

## 9. Transaction Overview

The shareholders of the Company are seeking a transaction with a partner capable of supporting the Company's next phase of growth. The Company is being offered on a debt-free, cash-free basis with a normalized level of working capital.

| Item                                  | Value   |
|---------------------------------------|---------|
| Enterprise Value (asking)             | \$21.4M |
| Implied Multiple (FY2024 Adj. EBITDA) | 7.0x    |
| FY2024 Adjusted EBITDA                | \$3.06M |
| FY2024 Revenue                        | \$18.4M |

### Process

Indications of interest are requested by the date set forth in the process letter. Management presentations will be scheduled with selected parties, followed by a confirmatory diligence period and access to a virtual data room.

## Risk Factors

Prospective purchasers should consider, among other factors, the following. This list is not exhaustive and is not presented in order of significance.

- **Economic conditions.** The Company's customers may reduce discretionary spending in a downturn, which could affect project and enhancement revenue in particular.
- **Key personnel.** The Company's performance depends on its ability to retain senior management and skilled delivery staff. The loss of key personnel could adversely affect operations and customer relationships.
- **Customer relationships.** Customer agreements may generally be terminated on notice. The loss of one or more significant relationships could have a material effect on results.
- **Competition.** The Company operates in a competitive market and may face pricing pressure from existing or new entrants.
- **Labor costs.** Wage inflation and constrained availability of skilled labor could compress margins if cost increases cannot be passed through.
- **Acquisition integration.** The Company's growth plan contemplates acquisitions. Integration may prove more difficult or costly than anticipated.
- **Financial information.** Financial information presented herein is unaudited and has been prepared by management. Prospective purchasers should conduct independent verification.

## Appendix A — Supplemental Financial Detail

### Monthly Revenue Detail — Fiscal 2024

| Month | Revenue (\$M) | Month | Revenue (\$M) |
|-------|---------------|-------|---------------|
| Jan   | \$1.41        | Jul   | \$1.59        |
| Feb   | \$1.41        | Aug   | \$1.59        |
| Mar   | \$1.41        | Sep   | \$1.59        |
| Apr   | \$1.59        | Oct   | \$1.53        |
| May   | \$1.59        | Nov   | \$1.53        |
| Jun   | \$1.59        | Dec   | \$1.53        |

### Summary Balance Sheet

| (\$ in millions)             | FY2024 |
|------------------------------|--------|
| Cash and equivalents         | \$0.74 |
| Accounts receivable          | \$1.93 |
| Inventory and other current  | \$0.55 |
| Property and equipment, net  | \$2.02 |
| Total assets                 | \$5.24 |
| Accounts payable and accrued | \$1.29 |
| Total liabilities            | \$1.66 |

### Capital Expenditures

| (\$ in millions)  | 2022   | 2023   | 2024   |
|-------------------|--------|--------|--------|
| Maintenance capex | \$0.17 | \$0.19 | \$0.22 |
| Growth capex      | \$0.11 | \$0.13 | \$0.15 |
| Total capex       | \$0.28 | \$0.32 | \$0.37 |
| % of revenue      | 2.0%   | 2.0%   | 2.0%   |

Capital expenditure requirements are modest and primarily relate to vehicle and equipment replacement on a normal replacement cycle.